

TEXTBOOK EXAMPLE

Some Perceived Disadvantages

- A wide gap may exist between high- and low-income earners.
- The economy may go through periods of growth and inflation (boom) and recession or depression (bust).
- There may be periods of high unemployment.
- Product or service advertising can manipulate consumer demand.
- Producers can form **monopolies** and exert too much control over the marketplace.
- Sometimes resources can be used ineffectively, and the costs may affect everyone in society (for example, factory pollution or depletion of resources).
- Sometimes resources are wasted on goods that people want, but which they may not need.

